Okada Manila (:)

CONFIDENTIAL · INTERNAL

Q3 2026 Earnings — Analyst Brief · Released 14 Oct 2026 · Currency PHP (₱) — tables in millions; USD equivalents at ₱62.87/$ (14 Oct 2026)

Prepared: 15 Oct 2026
B2Tech · via Merlin

TRLEI/Okada Manila is unlisted. The reaction in parent Universal Entertainment Corp (TSE: 6425) on 14–15 Oct 2026 could not be verified from the sources read [unverified]; quote pages (undated) show the stock trading around ¥680–750 in Sep–Oct 2026, near the low end of its ~¥612–1,100 52-week range, with a market cap of roughly ¥53–60bn (~$0.34–0.38bn).

THE ONE-LINE VERDICT

A flat-revenue, hold-flattered quarter. Q3-26 revenue of ₱7,841m (~$124.7m) was unchanged YoY and GGR rose just 0.9% to ₱7.04bn (~$111.9m) only because live mass-table hold jumped 380bps to 32.2%; VIP rolling volume fell another 28% and adjusted segment EBITDA dropped 13% to ₱962m (~$15.3m), a 12.3% margin (-180bps). The sequential rebound from a dire Q2 (₱333m) keeps parent UEC's "2H26 return to IR operating profit" target technically alive, but hold-adjusted GGR was still down ~1% and the cost base grew 2% on flat revenue — this is stabilisation, not recovery.

TOTAL REVENUE (Q3-26)	CASINO GGR	ADJ. SEGMENT EBITDA	ADJ. EBITDA MARGIN	VIP ROLLING CHIP VOLUME	PROPERTY VISITORS
₱7,841m (~$124.7m)	**₱7,037m (~$111.9m)**	**₱962m (~$15.3m)**	**12.3%**	**₱29.4bn (~$468m)**	**1.45m**
flat YoY; +12.2% QoQ	+0.9% YoY; +16.1% QoQ	-13.0% YoY; +189% QoQ	-180bps YoY; +750bps QoQ	-27.7% YoY	+11.8% YoY

1 EXECUTIVE SUMMARY

- **Headline: flat revenue, lower profit.** Tiger Resort, Leisure & Entertainment Inc (TRLEI, operator of Okada Manila; FYE 31 Dec; unlisted, 100% owned by TSE-listed Universal Entertainment Corp, 6425) reported preliminary Q3-26 (Jul–Sep) total revenue of ₱7,841m (~$124.7m), essentially unchanged YoY (Gaming Intelligence calls it a 'marginal improvement'), with casino GGR +0.9% to ₱7.04bn (~$111.9m) and adjusted segment EBITDA -13.0% to ₱962m (~$15.3m). There is no sell-side consensus for the unlisted entity; the release is unaudited and precedes UEC's consolidated Q3 (expected mid-Nov).
- **Mix shift is the whole story.** Mass-table GGR +19.7% to ₱3,010m (~$47.9m) more than offset VIP -21.4% to ₱1,150m (~$18.3m), gaming machines -4.0% to ₱2,880m (~$45.8m) and non-gaming -6.9% to ₱804m (~$12.8m). VIP is now 16.3% of GGR (Q3-25: 20.9%; FY23: ~35% per Fitch); mass tables 42.8%, machines 40.9%.
- **Luck did the heavy lifting on mass.** Live mass-table hold was 32.2% vs 28.4% a year ago (+380bps); at the prior-year hold, mass revenue would have been ~₱2.62bn, i.e. ~₱390m lower (estimate). Mass drop grew a more modest +5.4% to ₱9.01bn (~$143m).
- **But slots were unlucky, so net luck was roughly neutral.** Machine win rate fell to 5.1% from 5.7% on handle +5.6% — at prior-year hold machine GGR would have been ~₱340m higher. VIP hold 3.9% vs 3.6% added ~₱90m. Our hold-adjusted GGR is ~₱6.90bn, -1.2% YoY (estimate) — the 'return to growth' is a rounding event, not a trend break.
- **VIP remains in structural retreat.** Rolling chip volume -27.7% to ₱29.4bn (~$468m), after -22.5% in Q2 (when average VIP tables were cut to 73 from 87). 9M-26 VIP GGR -35.1% to ₱3.59bn (~$57.1m). The POGO ban and weak Korean/Chinese visitation are not reversing.
- **Sequential recovery from a trough quarter.** GGR +16.1% QoQ (Q2-26: ₱6.06bn) and adj. EBITDA ~2.9x Q2's ₱333m (~$5.3m); margin +750bps QoQ to 12.3%. Mass-table GGR +36.7% QoQ, VIP +15% QoQ, machines +0.7% QoQ.
- **Cost base is rising on flat revenue.** Revenue less adj. EBITDA (opex incl. PAGCOR licence fees and promotional spend) was ₱6,879m, +2.2% YoY (~+₱144m) — consistent with UEC's May warning that customer-acquisition costs are rising amid 'more intense' Manila competition and its August reference to 'strategic investments'. All of the EBITDA decline is cost, not revenue.
- **Footfall up, spend per head down.** Visitors +11.8% to 1.45m, hotel occupancy 95.0% (+810bps) — but ADR -4.5% to ₱9,473 (~$151), RevPAR +4.4% to ₱9,000 (~$143), and non-gaming revenue fell 6.9%. GGR per visitor was ₱4,853 (~$77), -9.6% YoY (estimate). The pattern (more rooms, cheaper, less cash non-gaming) reads as comp-driven reinvestment in mass/premium-mass.
- **Nine-month picture remains poor.** 9M-26 GGR ₱19.56bn (~$311m), -10.6%; total revenue ~₱22.2bn (~$354m), -9.7% (derived); adj. EBITDA just under ₱2.13bn (~$33.9m), -47.4% (GGRAsia; AGB -47.3%); margin ~9.6% vs ~16.4%. Visitors 4.33m (+5.4%).
- **Parent target: IR back to operating profit in 2H26 — unchanged, marginally on track.** With H1-26 results (10 Aug) UEC guided to a 2H26 IR-segment operating profit after an H1 operating loss of ¥1.37bn (~$8.7m) and adj. EBITDA ¥2.74bn (~$17.3m), -62.5%. H1 implies ~¥2bn/quarter of D&A-type charges (~₱0.8bn), so Q3's ₱962m EBITDA points to only a ~₱0.1–0.15bn segment operating profit (estimate) — achieved, but hold-dependent.
- **Recovery levers are small or unproven.** UEC's plan: OKADA PLAY online (online mass-table GGR ₱64m vs ₱44m — <1% of GGR), premium-mass acquisition, MICE/large-scale events, Japan/Asia marketing, cost optimisation; Disney-themed hospitality offerings start in Q4-26. Hotel named 'Best Hotel – Manila' at TTG Travel Awards 2026.
- **Credit is the binding constraint.** Fitch cut UEC to CCC+ from B- (Jul-26) and on 3 Oct forecast negative FCF in 2026–27 (FCF margin -3.1% / -0.1%), annual EBITDA of ~¥19bn (~$120m) through 2028 versus ~¥20bn (~$127m) needed for cash interest plus capex, EBITDAR fixed-charge cover below 1.5x, and derives bond recovery from Japan operations only because Philippine banks rank senior on the IR assets. S&P moved its outlook to negative in May-26. No significant maturities before Aug-2029.
- **Parent group is being carried by pachislot.** UEC H1-26 net sales ¥76.6bn (~$485m, +23.1%), adj. EBITDA ¥15.2bn (~$96m, +148%), net income ¥62m (~$0.4m) vs a ¥9.9bn loss; IR net sales ¥30.13bn (~$191m, -13.0%). Okada Manila is now the group's sole drag.
- **Market backdrop is a correction, not a cycle.** PAGCOR's chairman has warned industry GGR could fall up to 19% from 2025's ₱396bn; Philippine GGR fell ~20% in Q2-26; Maybank expects land-based pressure through 2H26 on inflation, utility costs and absent high-rollers;

online migration continues. New PAGCOR slot-rebate rules for licensed casinos took effect 14 Oct (headline only; detail unverified).

- **Peso at a record low is a translation headwind.** USD/PHP closed ₱62.87 on 14 Oct and breached ₱63 on 15 Oct; UEC's notes are USD-denominated while Okada EBITDA is PHP, shrinking dollar coverage even on flat peso earnings.
- **Management emphasis vs. what is buried.** The release leads with visitation +11.8%, 95% occupancy and mass +19.7%; it does not discuss the hold uplift, the 2% opex creep, the ADR cut or the trajectory of VIP table count. Fitch's framing — mass growth 'insufficient to offset' structural VIP decline — is the more honest read.
- **Thesis read-through.** Volume indicators (mass drop +5.4%, machine handle +5.6%, visitors +12%) say the mass floor has stabilised; profit indicators (EBITDA -13% on flat revenue, 9M margin ~9.6%) say the property is paying for that stability. Annualised Q3 EBITDA (~₱3.8bn / ~$61m) is below what the parent needs from the IR to be cash-neutral; the burden stays on pachislot and, ultimately, the 2029 refinancing window.
- **Share price.** TRLEI is unlisted; the move in parent UEC (6425) on 14–15 Oct could not be verified from the sources read [unverified].

2 GROUP FINANCIAL SUMMARY

TRLEI / OKADA MANILA — ₱M (USD AT ₱62.87/$)	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE BY PRODUCT					
VIP table games GGR	1,150 (~$18.3m)	+15.0%	-21.4%	3,590 (~$57.1m)	-35.1%
Mass table games GGR (live + online) 9M-26 mass derived from quarterly disclosures (Q1 2,300; Q2 ~2,200; Q3 3,010).	3,010 (~$47.9m)	+36.7%	+19.7%	7,510 (~$119.5m)	n/a
Gaming machines GGR 9M-26 machines derived (Q1 2,730; Q2 ~2,860; Q3 2,880).	2,880 (~$45.8m)	+0.7%	-4.0%	8,470 (~$134.7m)	n/a
Casino GGR	**7,037 (~$111.9m)**	**+16.1%**	**+0.9%**	**19,560 (~$311.1m)**	**-10.6%**
Non-gaming revenue (hotel, F&B, retail, entertainment)	804 (~$12.8m)	-13.4%	-6.9%	2,680 (~$42.6m)	-2.2%
Total revenue Q3-25 ₱7.84bn; 9M totals derived as GGR + non-gaming. Q2-26 ₱6.99bn (derived from H1 ₱14.4bn less Q1 ₱7.41bn).	**7,841 (~$124.7m)**	**+12.2%**	**~0.0%**	**~22,240 (~$353.7m)**	**-9.7%**
PROFITABILITY					
Adj. segment EBITDA Q3-25 ~₱1,106m; Q2-26 ₱333m; 9M-25 ~₱4,040m. AGB reports 9M decline as -47.3%.	**962 (~$15.3m)**	**+189%**	**-13.0%**	**~2,130 (~$33.9m)**	**-47.4%**
Adj. EBITDA margin	12.3%	+750bps	-180bps	~9.6%	~-680bps
Opex incl. gaming levies (revenue less adj. EBITDA, derived)	6,879 (~$109.4m)	+3.3%	+2.2%	~20,110 (~$319.9m)	-2.3%
Operating profit / net income Not disclosed in the preliminary TRLEI release; UEC IR segment H1-26 operating loss ¥1.37bn (~$8.7m).	n/a	n/a	n/a	n/a	n/a
EPS (GAAP / adjusted)	n/a (unlisted)				
OPERATING KPIS					
Property visitors (m)	1.45	-1.4%	+11.8%	4.33	+5.4%
Hotel occupancy	95.0%	+360bps	+810bps	n/a	n/a
VIP rolling chip volume	29,410 (~$467.8m)	-27.6%	-27.7%	n/a	n/a
Mass table drop	9,010 (~$143.3m)	n/a	+5.4%	n/a	n/a
BALANCE SHEET (TRLEI)					
Cash / net debt / leverage Not disclosed at TRLEI level. Parent UEC: Fitch (3 Oct 2026) projects negative FCF 2026–27, EBITDAR fixed-charge cover <1.5x, no significant maturities before Aug-2029.	n/a	n/a	n/a	n/a	n/a

3 SEGMENT DEEP-DIVE — GAMING — OKADA MANILA CASINO FLOOR (VIP / MASS TABLES / GAMING MACHINES)

> **GGR +0.9% to ₱7.04bn (~$111.9m) on a 380bps mass-hold tailwind; hold-adjusted GGR ~-1%; VIP volume -28%.**

HEADLINE GGR

Casino GGR rose 0.9% YoY to ₱7,037m (~$111.9m) in the September quarter, which the parent presents as stabilisation after four double-digit declines.

- GGR +16.1% QoQ; prior declines were Q4-25 -34%, Q1-26 -17.2%, Q2-26 -14.6%.
- The composition matters more than the headline.
- Analyst luck-adjusted GGR is ~₱6.90bn, -1.2% YoY: favourable mass hold and unfavourable machine hold broadly cancel.
- The real underlying story is the mix shift from VIP to mass.

MASS TABLES

Mass-market tables generated ₱3,010m (~$47.9m), +19.7% YoY and +36.7% QoQ, but mostly on hold; underlying growth is mid-single digits.

- Mass drop ₱9,010m (~$143.3m), +5.4%; live-table win rate 32.2% versus 28.4% a year earlier.
- Live mass revenue +19.2%; online mass tables via OKADA PLAY ₱64m (~$1.0m) versus ₱44m, still under 1% of GGR.
- At a 28.4% live hold mass would have been roughly ₱2.62bn, +4.5% YoY, in line with drop growth.
- Respectable in a Philippine market running ~20% down but nowhere near the headline.

VIP

VIP table GGR fell 21.4% YoY to ₱1,150m (~$18.3m) on rolling chip volume -27.7%; the decline is treated as structural.

- Rolling chip volume ₱29,410m (~$467.8m), a further ~28% below Q2's ₱40.6bn (~$646m); win rate 3.9% (vs 3.6%) cushioned revenue by ~₱90m.
- Q2 saw VIP win -56% and average VIP tables cut to 73 from 87; Q3 does not disclose table count, read as a deliberate omission.
- VIP is 16.3% of GGR versus 20.9% a year ago and ~35% in 2023 (Fitch); 9M-26 VIP GGR ₱3.59bn (~$57.1m), -35.1%.
- With POGO banned and Korean and mainland Chinese visitation depressed, no catalyst; question is whether space is redeployed to premium mass.

GAMING MACHINES

Machine GGR was ₱2,880m (~$45.8m), -4.0% YoY but +0.7% QoQ, as handle rose 5.6% while win rate fell to 5.1% from 5.7%.

- At the prior-year win rate machine GGR would have been ~₱3.22bn, up ~7%; implied handle roughly ₱56bn (~$0.9bn) is a genuine volume positive.
- Whether the 60bps hold decline is variance or structural loosening (free-play, promotional reinvestment, PAGCOR slot-rebate rules from 14 October) is the key Q4 question.
- Machines are 41% of GGR and the single largest profit pool on the floor.

PROFITABILITY AND COSTS

Revenue was flat while adjusted segment EBITDA fell 13.0% to ₱962m (~$15.3m), a 12.3% margin, -180bps YoY but +750bps QoQ.

- Q2 margin trough was 4.8%; revenue less EBITDA (PAGCOR fees, promotional allowances, labour, marketing) rose 2.2% to ₱6,879m (~$109.4m).
- UEC flagged in May that Manila competition was 'more intense' with rising customer-acquisition costs, and in August that Q2 included 'strategic investments'; Q3 shows spend persisting.
- Promotional cost as a percentage of drop or handle is undisclosed; wanted before accepting mass-volume growth is margin-accretive rather than bought.
- 9M-26 GGR ₱19.56bn (~$311m), -10.6%; adjusted EBITDA just under ₱2.13bn (~$33.9m), -47.4%; Q3 is 45% of year-to-date profit.

GUIDANCE

No numeric segment guidance; UEC targets an IR-segment operating profit in 2H26, and Q3 EBITDA covers depreciation-type charges with only ~₱0.1–0.15bn to spare.

- Levers cited: online expansion, premium-mass acquisition, Japan/Asia marketing and cost optimisation.
- H1 implies ~₱0.8bn/quarter of depreciation-type charges; spare cover is the analyst's estimate.

GAMING — ₱M (USD AT ₱62.87/$)	Q3-26	QOQ	YOY	9M-26	9M YOY
Casino GGR	**7,037 (~$111.9m)**	**+16.1%**	**+0.9%**	**19,560 (~$311.1m)**	**-10.6%**
VIP table games	1,150 (~$18.3m)	+15.0%	-21.4%	3,590 (~$57.1m)	-35.1%
Mass table games (total)	3,010 (~$47.9m)	+36.7%	+19.7%	~7,510 (~$119.5m)	~-1% (derived)
of which live mass tables	~2,946 (~$46.9m)	n/a	+19.2%	n/a	n/a
of which online mass (OKADA PLAY)	64 (~$1.0m)	n/a	+45% (vs 44)	n/a	n/a
Gaming machines	2,880 (~$45.8m)	+0.7%	-4.0%	~8,470 (~$134.7m)	~-3.5% (derived)
VOLUME & HOLD					
VIP rolling chip volume	29,410 (~$467.8m)	-27.6%	-27.7%	n/a	n/a
VIP win rate	3.9%	+140bps (Q2: 2.5%)	+30bps (Q3-25: 3.6%)	n/a	n/a
Mass table drop	9,010 (~$143.3m)	n/a	+5.4%	n/a	n/a
Live mass-table win rate	32.2%	n/a	+380bps (Q3-25: 28.4%)	n/a	n/a
Gaming machine handle (derived) Handle derived as GGR ÷ win rate; company reports the +5.6% growth rate only.	~56,500 (~$899m)	n/a	+5.6% (reported)	n/a	n/a
Gaming machine win rate	5.1%	n/a	-60bps (Q3-25: 5.7%)	n/a	n/a
MIX & ESTIMATES					
VIP share of GGR	16.3%	-20bps	-460bps	18.4%	n/a
Mass tables / machines share of GGR	42.8% / 40.9%	n/a	+680bps / -210bps	38.4% / 43.3%	n/a
Luck-adjusted GGR (analyst est., prior-year hold) Estimate: mass -₱387m, machines +₱339m, VIP -₱91m vs reported.	~6,900 (~$109.7m)	n/a	~-1.2%	n/a	n/a
Avg VIP tables (last disclosed, Q2-26)	n/a	73 (Q2-26)	vs 87 (Q2-25)	n/a	n/a

4 SEGMENT DEEP-DIVE — NON-GAMING, HOTEL & VISITATION

Visitors +11.8% and occupancy 95%, but ADR -4.5% and non-gaming revenue -6.9% to ₱804m (~$12.8m) — comps, not cash.

VISITATION AND OCCUPANCY

Visitors rose 11.8% to approximately 1.45 million and the 993-room hotel ran at 95.0% occupancy, versus 86.9% a year earlier.

- Occupancy was 91.4% in Q2; the parent leads with the headline.
- Analyst reads the occupancy figure as a marketing input rather than a hospitality output.

HOTEL YIELD

ADR fell 4.5% to ₱9,473 (~$151) and RevPAR rose only 4.4% to ₱9,000 (~$143), down from ₱9,242 (~$147) in Q2.

- Filling 8 more points of rooms while cutting rate and seeing cash non-gaming fall implies more complimentary occupancy.
- Consistent with the mass-reinvestment push visible on the gaming floor.

NON-GAMING REVENUE

Non-gaming revenue declined 6.9% YoY and 13.4% QoQ to ₱804m (~$12.8m), 10.3% of total revenue versus 11.0% a year ago and 13.3% in Q2.

- Covers hotel, F&B, retail and entertainment.
- 9M-26 non-gaming revenue ₱2,680m (~$42.6m), -2.2%, on visitation of 4.33 million, +5.4%.
- Management said in August it had 'intensified' efforts to expand non-gaming revenue via large-scale events; Q3 numbers do not yet show it.

SPEND PER VISITOR

GGR per visitor was ~₱4,853 (~$77), -9.6% YoY, and total revenue per visitor ~₱5,408 (~$86), -10.5%; spend per visitor is deteriorating.

- Q3-25 GGR per visitor ~₱5,369; nine-month GGR per visitor ~₱4,517, -15% (all analyst-derived).
- Partly arithmetic of losing high-value VIP players while adding low-value event foot traffic.
- Also underlines that incremental visitation is being bought at lower yield.

FORWARD CATALYSTS

Catalysts are Disney-themed hospitality from Q4-26, MICE promotion and the TTG 'Best Hotel – Manila' award, none quantified; a genuine turn needs RevPAR growth with stable ADR.

- President and COO Nobuki Sato highlighted the TTG Travel Awards 2026 recognition.
- Peso at a record low (₱63/$ on 15 October) improves inbound economics for Korean and Japanese visitors, the main source-market upside.
- Analyst wants Q4 non-gaming revenue tracking occupancy before crediting the hotel with a turn.

NON-GAMING & HOTEL — ₱ (USD AT ₱62.87/$)	Q3-26	QOQ	YOY	9M-26	9M YOY
Non-gaming revenue (₱m)	**804 (~$12.8m)**	**-13.4%**	**-6.9%**	**2,680 (~$42.6m)**	**-2.2%**
Non-gaming % of total revenue	10.3%	-300bps (Q2: 13.3%)	-70bps (Q3-25: 11.0%)	~12.1%	~+100bps
Hotel occupancy	95.0%	+360bps (Q2: 91.4%)	+810bps (Q3-25: 86.9%)	n/a	n/a
ADR (₱)	9,473 (~$151)	n/a	-4.5%	n/a	n/a
RevPAR (₱)	9,000 (~$143)	-2.6% (Q2: 9,242)	+4.4%	n/a	n/a
Property visitors (m)	1.45	-1.4% (Q2: 1.47)	+11.8% (Q3-25: 1.30)	4.33	+5.4% (9M-25: 4.11)
GGR per visitor (₱, derived)	~4,853 (~$77)	+17.7%	-9.6%	~4,517 (~$72)	~-15%
Total revenue per visitor (₱, derived)	~5,408 (~$86)	+13.7%	-10.5%	~5,136 (~$82)	~-14%

5 SEGMENT DEEP-DIVE — PARENT CONTEXT — UNIVERSAL ENTERTAINMENT CORP (TSE: 6425): IR SEGMENT & CREDIT

Group profit is pachislot-driven; the IR segment lost ¥1.37bn (~$8.7m) in H1-26 and Fitch (CCC+) sees negative FCF through 2027.

IR SEGMENT H1-26

IR net sales fell 13.0% YoY to ¥30.13bn (~$191m), the operating loss widened to ¥1.37bn (~$8.7m) from ¥1.32bn, and adjusted EBITDA fell 62.5% to ¥2.74bn (~$17.3m).

- UEC consolidates Okada Manila as its Integrated Resort segment in yen; the TRLEI peso release leads the segment print due mid-November.
- H1-26 is Jan–Jun; UEC's 'second quarter' is cumulative.
- Q3 TRLEI numbers suggest the 2H26 operating-profit target is being met by a thin margin and with help from hold.

> *"promoting cost optimization and prioritizing the allocation of management resources"* — **Management**

GROUP RESULTS

Group swung to net income of ¥62m (~$0.4m) from a ¥9.87bn loss, entirely on the Japanese pachinko/pachislot recovery.

- Net sales ¥76.6bn (~$485m), +23.1%; adjusted EBITDA ¥15.2bn (~$96m), +148%; segment operating profit ¥14.2bn (~$90m), +174%.
- Management intends to return the IR segment to operating profit in 2H26 via OKADA PLAY, premium-mass customers, Japan/Asia marketing and large-scale events.

CREDIT RATINGS

Fitch downgraded UEC to CCC+ from B- in July 2026 and models negative free cash flow in 2026 and 2027; the credit picture frames everything.

- Fitch cited 'material deterioration' in the IR segment; FCF margins of -3.1% and -0.1%; EBITDAR fixed-charge coverage at or below 1.5x through 2027.
- Annual EBITDA of about ¥19bn (~$120m) through 2028 against roughly ¥20bn (~$127m) needed for cash interest and capex.
- Fitch derives USD senior note recovery from post-restructuring Japanese cash flows only, as local banks hold senior claims on Philippine IR assets.
- S&P revised its outlook to negative in May 2026 on stiff Philippine competition.
- No significant maturities before August 2029 buys time but not optionality; record-low peso erodes dollar coverage even on flat local earnings.

ANALYST READ

Okada Manila does not need to grow to satisfy the parent's near-term objectives; it needs to stop consuming cash.

- Annualising Q3's ₱962m gives ~₱3.8bn (~$61m, ~¥9.7bn) of IR EBITDA, roughly half the group total Fitch models and insufficient to cover IR's share of interest.
- Swing factor (i): whether the mass floor holds Q3 volumes at normal hold without further promotional escalation.
- Swing factor (ii): whether UEC monetises or restructures anything at the IR level.
- Swing factor (iii): whether pachislot demand holds long enough to carry the refinancing conversation into 2028.

UEC — ¥M (USD at ~¥158/$, as implied by Aug-26 coverage)	H1-26 (Jan–Jun)	YoY	H1-25 (derived)	Comment
IR segment (Okada Manila)				
Net sales	30,130 (~$191m)	-13.0%	~34,630	Peso-denominated; translation at avg rate
Operating profit / (loss)	(1,370) (~-$8.7m)	n/m	(1,320)	2H26 target: operating profit
Adj. EBITDA	2,740 (~$17.3m)	-62.5%	~7,310	TRLEI H1-26 adj. EBITDA ₱1,160m (~$18.5m), -60.3%
Group				
Net sales	76,600 (~$485m)	+23.1%	~62,200	Pachislot/pachinko recovery
Adj. EBITDA	15,200 (~$96m)	+148%	~6,130	
Segment operating profit	14,200 (~$90m)	+174%	~5,180	
Net income attributable to owners	62 (~$0.4m)	n/m	(9,870)	
Credit				
Fitch IDR	CCC+	cut from B- (Jul-26)	B-	Recovery based on Japan ops only
S&P outlook	Negative (May-26)	revised	Stable	
Fitch FCF margin forecast	2026E -3.1% / 2027E -0.1%	n/a	n/a	Negative FCF 2026–27
Fitch EBITDA vs fixed charges	~¥19bn p.a. through 2028 (~$120m)	n/a	n/a	vs ~¥20bn (~$127m) cash interest + capex; EBITDAR FCC <1.5x
Next significant maturity	Aug-2029 (USD senior notes)	n/a	n/a	Amount [unverified]

6 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Mass-floor volumes are genuinely growing: mass table drop +5.4% to ₱9.01bn (~$143m), machine handle +5.6%, visitors +11.8% to 1.45m — in a Philippine market running ~20% down. Hold-adjusted mass GGR ~+4–5%. structural
- Sharp sequential recovery from the Q2 trough: GGR +16.1% QoQ, adj. EBITDA ₱962m (~$15.3m) vs ₱333m (~$5.3m), margin 12.3% vs 4.8% — enough to put UEC's 2H26 IR operating-profit target narrowly on track (est. ~₱0.1–0.15bn Q3 segment EBIT). mixed
- Live mass-table hold of 32.2% (+380bps) added ~₱390m to mass GGR — a windfall, but one that partly offset an unlucky 5.1% machine hold (-60bps, ~-₱340m), so the reported GGR is not far from luck-neutral. one-off
- Hotel metrics at record levels: 95.0% occupancy (+810bps), RevPAR +4.4% to ₱9,000 (~$143); 'Best Hotel – Manila' TTG award; Disney-themed offerings launch in Q4-26. mixed
- Online mass tables (OKADA PLAY) grew ~45% to ₱64m (~$1.0m) — tiny, but the only channel with structural growth in a market migrating online. early
- Parent is self-funding for now: UEC H1-26 adj. EBITDA ¥15.2bn (~$96m, +148%) on pachislot strength; no significant maturities before Aug-2029. structural

▼ LOWLIGHTS

- VIP keeps collapsing: rolling volume -27.7% to ₱29.4bn (~$468m) after -22.5% in Q2; 9M VIP GGR -35.1% to ₱3.59bn (~$57.1m); VIP share of GGR 16.3% vs ~35% in 2023. No catalyst for reversal (POGO ban, Korean/Chinese visitation). structural
- Profit fell on flat revenue: adj. EBITDA -13% to ₱962m (~$15.3m) with opex (revenue less EBITDA) +2.2% to ₱6,879m (~$109m) — the cost of acquiring mass volume in an intensifying Entertainment City market. Promo % of drop/handle is not disclosed. structural
- Hold-adjusted GGR ~₱6.90bn, -1.2% YoY (estimate): the 'return to growth' headline is a rounding outcome, and Q4 faces mean reversion on the 32.2% mass hold. mixed
- Non-gaming -6.9% to ₱804m (~$12.8m) and ADR -4.5% despite 95% occupancy — incremental rooms look comped; GGR per visitor -9.6% to ~₱4,853 (~$77). structural
- Credit deterioration: Fitch CCC+ (from B-), negative FCF 2026–27, EBITDAR fixed-charge cover <1.5x, EBITDA ~¥19bn vs ~¥20bn of interest + capex; bond recovery now assessed on Japan assets only. S&P outlook negative. governance
- 9M-26 adj. EBITDA -47.4% to ~₱2.13bn (~$33.9m), margin ~9.6% vs ~16.4%; annualised Q3 run-rate (~₱3.8bn) is far below the ₱5bn+ the property generated in FY25's first nine months alone. structural
- Peso at record low (₱62.87 on 14 Oct, >₱63 on 15 Oct) shrinks USD-equivalent EBITDA against USD-denominated parent notes; new PAGCOR slot-rebate rules (14 Oct) are an unquantified margin risk on 41% of GGR. watch

7 FORECAST & OUTLOOK

Guidance bridge. TRLEI gives no numeric guidance and UEC has not changed its only stated target: with H1-26 results on 10 Aug it committed to returning the IR segment to operating profit in 2H26 (after an H1 operating loss of ¥1.37bn / ~$8.7m), via OKADA PLAY online, premium-mass acquisition, Japan/Asia marketing, large-scale events and cost optimisation. Q3 is the first data point and it is the IR segment alone that determines whether the target is met — pachislot is already carrying the group. The EBITDA bridge below shows that the YoY decline is entirely cost: revenue was flat because a ~₱500m mass-table gain (of which ~₱390m was hold) offset ~₱490m of VIP, machine and non-gaming erosion, while the cost base rose ~₱144m.

Q3-25 ADJ. SEGMENT EBITDA	REVENUE MIX: MASS +₱500M (HOLD ~+₱390M) VS VIP -₱310M, MACHINES -₱120M, NON-GAMING -₱60M	OPEX INCL. PAGCOR FEES, PROMO & MARKETING (DERIVED)	Q3-26 ADJ. SEGMENT EBITDA
₱1,106m (~$17.6m)	**~₱0m**	**-₱144m**	**₱962m (~$15.3m)**
base (14.1% margin)	flat revenue at ₱7,841m	+2.2% YoY to ₱6,879m	-13.0% YoY; 12.3% margin

Independent view. Q4-26E (analyst estimate): the comp is easy (Q4-25 GGR ₱5.93bn, -34% YoY, the cycle low) and seasonality helps, but we assume live mass hold reverts toward 28–30% and machine hold toward 5.3–5.5%. On mass drop ~+5%, machine handle ~+5% and VIP volume -20–25% we model GGR of **₱6.4–6.9bn (~$102–110m), +8–16% YoY**, total revenue ~₱7.2–7.7bn, and adj. EBITDA of **₱650–900m (~$10–14m)** at a 9–12% margin — meaning 2H26 segment operating profit is achievable only at the top of that range once ~₱0.8bn/quarter of D&A-type charges are deducted. **FY26E:** GGR ~₱26.0–26.5bn (~$413–421m), -5% to -7% vs FY25's ₱27.8bn; adj. EBITDA ~₱2.8–3.0bn (~$45–48m), roughly -45% to -50% on the 9M trend (FY25 full-year EBITDA not verified). **Margin direction:** flat-to-down until promotional intensity is disclosed and contained; we would not underwrite the Q3 12.3% as a run-rate. **Leverage direction:** up at the parent — Fitch models EBITDA ~¥19bn vs ~¥20bn of cash interest plus capex and negative FCF in both 2026 and 2027, so net debt rises even with no maturities before Aug-2029; a weaker peso compounds USD coverage. **Swing factors:** (1) mass hold normalisation (±₱300–400m/quarter of GGR); (2) machine hold under the new PAGCOR slot-rebate rules; (3) whether VIP table count is cut further and floor space redeployed; (4) Disney-themed Q4 launch and event calendar for non-gaming yield; (5) any IR-level asset or capital-structure action by UEC.

What to watch next quarter:

- Q4-26 live mass hold vs the 32.2% Q3 print and mass drop growth — the test of whether volume survives normal luck.
- Machine win rate under PAGCOR's slot-rebate rules effective 14 Oct 2026; machines are 41% of GGR.
- Promotional reinvestment: opex per visitor and non-gaming revenue vs occupancy — Q3 showed 95% occupancy with ADR -4.5% and non-gaming -6.9%.
- VIP rolling volume (₱29.4bn in Q3) and average VIP table count (last disclosed 73 in Q2-26 vs 87).
- UEC consolidated Q3 (mid-Nov) — IR segment operating result vs the 2H26 operating-profit commitment; any revision to FY26 forecasts.
- Fitch (CCC+) / S&P (negative outlook) actions and USD/PHP (record low ₱63+) against USD senior notes due Aug-2029.
- OKADA PLAY online scaling beyond ₱64m/quarter and the Q4-26 Disney-themed hospitality launch.
- Philippine market data: PAGCOR GGR run-rate vs the chairman's up-to-19% FY decline warning; Entertainment City competitive intensity and Casino Filipino privatisation.

DATA CONFIDENCE: MEDIUM FX: USD/PHP ₱62.87 (Bankers Association of the Philippines close, 14 Oct 2026 — the release date); JPY figures converted at ~¥158/USD as implied by August 2026 coverage of UEC's H1 results [approximate]. The UEC/TRLEI preliminary Q3-26 PDF could not be retrieved directly (web-fetch budget exhausted); every Q3-26 figure was triangulated across four independent outlets (GGRAsia, Asia Gaming Brief, Inside Asian Gaming, Focus Gaming News) that each cite the 14 Oct 2026 filing, and they agree on all headline numbers (one minor discrepancy: 9M adj. EBITDA -47.4% per GGRAsia vs -47.3% per AGB; GGR quoted as $111.8m vs $112m on rounding). Q3-25, Q1-26 and Q2-26 comparatives come from the same outlets' contemporaneous reports on the TRLEI filings. Items explicitly derived or estimated by the analyst and labelled as such: Q2-26 total revenue and product split, 9M-26 mass/machine GGR, machine handle, Q3-25 drop/RCV, hold-normalised GGR, GGR per visitor, implied D&A and segment EBIT, all forward estimates. Not verified: UEC share-price reaction, the principal amount/coupon of the 2029 notes, TRLEI net income/cash/debt (not in the preliminary release), FY25 full-year adj. EBITDA, and the content of the PAGCOR slot-rebate rules (headline only).

Sources: [Primary] Universal Entertainment Corp — 'Quarterly Results of TRLEI (Preliminary Results for 3rd Quarter of FY2026)', 14 Oct 2026 (IR release; cited via coverage — PDF not retrieved directly); [Primary] Universal Entertainment Corp — H1 (Q2) FY2026 consolidated results and IR-segment commentary, 7–10 Aug 2026 (cited via GGRAsia / IAG / AGB); [Secondary] GGRAsia — 'Okada Manila 3Q EBITDA down 13pct despite mass gaming growth', 14 Oct 2026; [Secondary] Asia Gaming Brief — 'Okada Manila 3Q EBITDA falls 13% despite 12% rise in visitors', 14–15 Oct 2026 (hotel ADR/RevPAR, live vs online mass); [Secondary] Inside Asian Gaming — 'Okada Manila reports improved GGR of US$112 million in 3Q26…', 15 Oct 2026 (QoQ comparisons); [Secondary] Focus Gaming News — 'Okada Manila Q3 GGR rises 0.9% as VIP revenue falls', 15 Oct 2026 (includes image of TRLEI results table); [Secondary] G3 Newswire — 'Okada Manila sees mass gaming grow, but VIP hit hard…', 15 Oct 2026 (TTG award, COO quote); [Secondary] Gaming Intelligence — 'Okada Manila returns to revenue growth in third quarter', 15 Oct 2026 (user-supplied; paywalled, headline revenue only); [Secondary] GGRAsia — 'Okada Manila 3Q GGR down from a year earlier, but EBITDA grows 2pct', 15 Oct 2025 (Q3-25 comparatives); [Secondary] Asia Gaming Brief — 'Okada Manila 2Q26 adjusted EBITDA plunges 71% as VIP segment collapses', 14 Jul 2026 (Q2-26 and H1-26 comparatives); [Secondary] Asia Gaming Brief / IAG / GGRAsia — Okada Manila 1Q26 results coverage, 15 Apr 2026 (Q1-26 comparatives, FY25 GGR); [Secondary] GGRAsia — 'Universal Ent back to black in 2Q, though EBITDA from its Okada Manila casino resort down 65pct', 10 Aug 2026; [Secondary] Inside Asian Gaming — 'UEC to focus on mass market and online gaming to drive recovery…', 9 Aug 2026 (group H1-26 figures, management quotes); [Secondary] Asia Gaming Brief — 'Universal Entertainment targets 2H26 Okada Manila profit after IR EBITDA falls 62.5%', 10 Aug 2026; [Secondary] Inside Asian Gaming — 'Fitch sees three years of negative free cash flow for Universal as Okada Manila struggles', 3 Oct 2026; [Secondary] Asia Gaming Brief — 'Okada Manila's mass-market growth fails to offset structural VIP decline: Fitch', 4 Oct 2026; [Secondary] Fitch Ratings via MarketScreener — 'Fitch Downgrades Universal Entertainment to CCC+', Jul 2026; [Secondary] GGRAsia — 'S&P cuts Universal Ent's outlook to negative on Okada Manila weakness', May 2026; [Secondary] Inside Asian Gaming — 'Okada Manila parent UEC says competition between Manila gaming operators now more intense…', 15 May 2026; [Secondary] Radar.ph — 'Peso weakens further as PSEi sinks toward 5,600', 14 Oct 2026 (USD/PHP close ₱62.870); [Secondary] Philstar — 'Peso breaches 63-level vs dollar, hits record low', 15 Oct 2026; [Secondary] Asia Gaming Brief — 'PAGCOR implements slot rebate rules for licensed land-based casinos', 14 Oct 2026 (headline only).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.